

economic growth will be robust should be able to spot the immediate recession risks.

Burst your filter bubble

You are a member of a tribe. Whether you are a value or growth investor, a fan of American Muscle or Italian sports cars, a liberal or a conservative, you belong to a tribe. Your group reads the same media sources and hangs around with those who share similar ideas and values.

This creates a filter bubble that reinforces support for your beliefs and holdings. Rather than having an objective view of our investments, this can create blind spots, which, as you might imagine, can lead to expensive errors.

Widen your world. Find other valid sources of information. It takes buyers and sellers for trade to occur; it's not that difficult to find reasonable perspectives that disagree with your own.

Physicist Carl Sagan once observed, "Extraordinary claims require extraordinary evidence."

Be wary of your tribal beliefs.

Choose data over anecdotes

Evaluating data can be challenging. Compelling narratives can easily sway us, even when the math suggests a different course of action. Sports fans and partisans are so deeply invested in a specific outcome that they simply lose the ability to objectively judge reality.

Anecdotes are a single data point; choose the trend over any recent example. Narratives are compelling because they are so neat, with good and bad guys, an obvious conflict, and a satisfying resolution.

We believe what we want to believe, regardless of the evidence. In the capital markets, the costs of such an approach can be quite expensive.